



WHAT IS IN THIS BOOK

In Part 1 of this book, we will talk about 'profiling'. Taking a hard look at our current financial profile, we will understand how we can create a profile i.e. a personal balance sheet, a personal income statement and keep it separate from our business. We will then comprehend our borrowing position and life-cycle stage. Going forward, we will evaluate ourselves based on the different parameters that affect our financial profile i.e. risk, returns, taxes, time horizon, legal factors, liquidity needs, and unique circumstances. On its completion, we would receive a true picture of our financial situation.

We will also learn about the GETAI principle that helps us determine our risk-taking ability and this is what makes this book special. To date, the risk-taking ability was left for people to evaluate subjectively. We have carefully devised a set of 10 'Yes/No' questions that objectively judge our risk-taking ability.

In Part 2, we will understand the different asset classes available to us as an individual and the suitability of each asset class. We will also learn how we can pick the most suitable instrument within each asset class i.e. picking the right mutual fund scheme, insurance policy, and so on.

Coming to Part 3, we will use our financial profile and asset options to create a financial plan for ourselves. This is where Part 1 (profile) and Part 2 (asset classes) will be linked together. We understand that it is often overwhelming for readers to process and understand so many asset classes in one go and deal with each of them while creating a profile. Thus, we have tried to make this process as objective as possible.

After studying this book and some practice, we will not need any other book or course for personal finance. So, we have to make sure that we keep things simple and not overburden ourselves with too many things.